

history: the highest balance it has ever had, the monthly payment, the date it was opened, its status, and more. Toward the bottom, it shows the individual's account history. The goal is to have every box be filled with the word *OK*, which means the account holder paid at least the minimum payment on time that month.

This individual has a few blemishes on their credit history that will hurt their score. In February 2020, the person received a 30 on the report, which means they were at least 30 days late on their bill at that time. In March, they again failed to pay their bill, and were then 60 days late. While you may be thinking it is only a couple of months, any late payment can have a significant effect on your credit score.

Credit Score

If your credit report is like your list of assignments in a class, the **credit score (FICO score)** is your final grade. There are three main credit bureaus that keep track of your credit history: FICO, Experian and Equifax. FICO, however, is the only one that assigns a score to your credit history, which is why your credit score is often called your FICO score.²⁴ Your credit score will range from 300 to 850, and this number will be the primary determinant of the APR rates you receive when you open new lines of credit. If you are a person with a great credit history, then you will have a high score and will be rewarded with low interest rates. If you are a person whose credit history looks like a dumpster fire, you will be punished with high, potentially crippling interest rates. Here

24 Greg Depersio, "FICO vs. Experian vs. Equifax: What's the Difference?," Investopedia, September 15, 2020, <https://www.investopedia.com/articles/credit-loans-mortgages/082816/fico-vs-experian-vs-equifax-their-pros-and-cons-fico-efx.asp>.